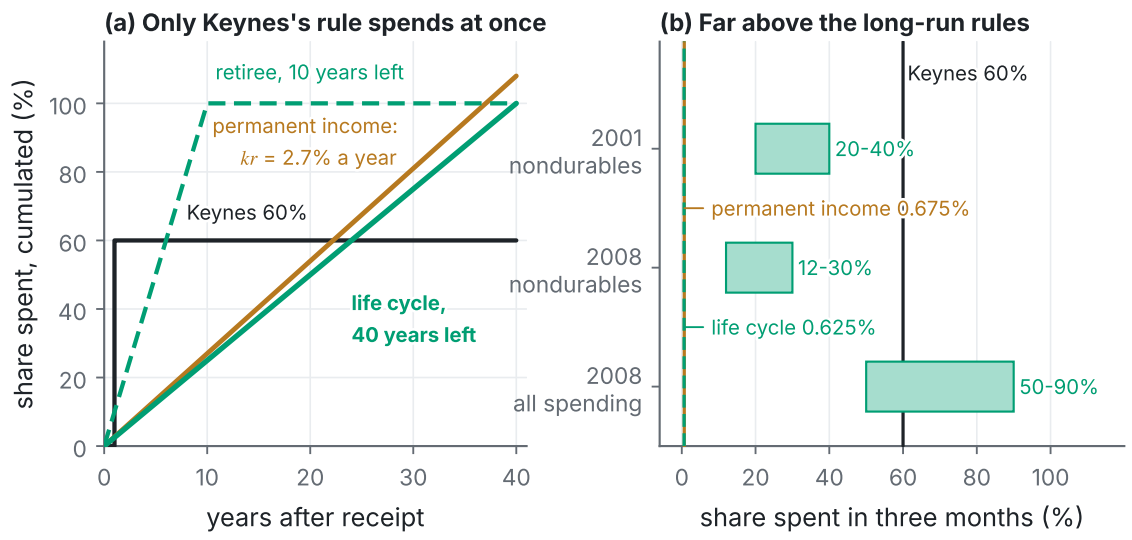
(a) Only Keynes's rule spends at once
retiree, 10 years left
permanent income:
kr = 2.7% a year
Keynes 60%
life cycle,
40 years left
share spent, cumulated (%)
0
20
40
60
80
100
0
10
20
30
40
years after receipt
(b) Far above the long-run rules
Keynes 60%
2001
nondurables
20-40%
permanent income 0.675%
2008
nondurables
12-30%
life cycle 0.625%
2008
all spending
50-90%
0
20
40
60
80
100
share spent in three months (%)